

E-Commerce Sales & Profitability Executive Report

Data Analysis Period: 2014 – 2017 | Superstore Dataset (US Regional Retail)

Executive Summary

This report summarizes key business findings from analyzing 9,994 transaction records spanning 2014 through 2017. While cumulative revenue reached **\$2.30M** with **\$286.4K** in profit (12.5% overall margin), deep-dive analysis reveals critical margin erosion caused by unmonitored discount policies, regional underperformance, and high-volume loss-making SKUs.

Yearly Financial Summary

Year	Revenue	YoY Growth	Total Profit	Profit Margin	Total Orders
2014	\$484,247	-	\$49,544	10.2%	969
2015	\$470,533	-2.8%	\$61,619	13.1%	1,038
2016	\$609,206	+29.5%	\$81,795	13.4%	1,315
2017	\$733,215	+20.4%	\$93,439	12.7%	1,687
Total	\$2,297,201	-	\$286,397	12.5%	5,009

Key Findings & Strategic Recommendations

- Uncontrolled Discounts Destroy Profitability:** Orders with 0% discount yield an average profit margin of **34.0%**, whereas orders with discounts average a negative margin of **-8.3%**. Discounts greater than 20% consistently lead to financial losses. *Recommendation: Cap maximum promotional discounts at 20% to recover an estimated \$138,515 in profit.*
- Product Portfolio Rationalization:** Technology products generate the highest profitability (\$145.5K profit, 15.6% margin). Conversely, Sub-Categories such as Tables, Bookcases, and Supplies operate at net losses totaling **-\$22,387**. *Recommendation: Re-negotiate vendor terms or raise prices for negative-margin SKUs.*
- Regional Performance Disparities:** The West region delivers the highest profit (\$108.4K, 21.9% margin), whereas 10 states operate at a net loss (led by Texas at -\$25.7K and Ohio at -\$17.0K). *Recommendation: Re-evaluate shipping rates and promotional incentives in Central and Southern loss-making states.*
- RFM Customer Value Concentration:** Customer segmentation identifies 124 'Champion' accounts driving high lifetime value, alongside 261 'At Risk' or 'Lost' accounts. *Recommendation: Establish automated retention triggers for accounts with declining order frequency.*

Discount Impact Visualization

Impact of Discounts on Profitability

